

HSBC Holdings plc (0005)

Share price overshoot to the downside; briefing takeaways net positive – accumulate on weakness

HSBC reported mixed 1Q results ([link](#)), with the share price correcting 3.8% in the afternoon of 5 May, vs HSI +0.6%. We believe the share price has overshoot to the downside, due partly to elevated expectations following STAN's strong print ([link](#)) and concerns over private market exposure following the surprise fraud-case-related ECL charge of \$0.4bn. Our takeaways from the briefing call are positive, as we believe the risk of a meaningful step-up in credit cost due to the Middle East situation and the fraud case is low. Management suggested upside flexibility in banking NII guidance of \$46bn (vs consensus \$45.8bn), and reiterated cost and ROTE guidance despite the risks from the Middle East and private credits. We reiterate our OW rating, as risk is flagged at this point, and we believe HSBC will continue to benefit from elevated rates and strong net new money inflows; its valuation is undemanding when compared with DM banks (Figure 1). We see the current weakness as an opportunity to accumulate.

- Management commentary suggests limited risk of further step-up in ECL charges related to fraud case and Middle East situation:** The CFO commented that the fraud case is idiosyncratic; it is related to secondary exposure through a financial sponsor where HSBC relied on the sponsor's due diligence. Following this, HSBC has enhanced its due diligence processes even where relying on financial sponsors and has reviewed concentration risk limits. On the Middle East, management commented that they saw a slowdown in activity in March, but then a rebound in April. The downside risk to PBT under the stress scenario is split ~50%/50% between revenue impact and a rise in ECL. Management commented that the current weighting of 45% assigned to stress scenarios, with 30% on the Middle East, is already at peak level through the cycle, comparable to the risk weighting applied during Covid and the start of the Russia-Ukraine war. In our view, the risk of a meaningful step-up in ECL charges due to ME and fraud is low in coming quarters.
- Banking NII guidance is around \$46bn (vs consensus \$45.8bn), not at \$46bn, leaving upside flexibility.** Note that annualized 1Q26 NII is \$46.2bn; thus the FY26 guidance has already factored in potential rate headwinds, despite 1M HIBOR rebounding 21bps in April, and with structural hedges as a tailwind.
- Management is confident in reiterating the >17% ROTE guidance:** Management pointed out that stripping out Middle East and fraud-related ECL charges in 1Q, impairment charges would be \$600mn, annualizing to 24bps of credit cost, instead of the reported 52bps in 1Q26. Thus, management is confident that FY26 credit cost will come in at ~45bps (implying annualized ~43bps for the remainder of the year). On OPEX (1Q +8% y/y), management explained that some costs are front-loaded and that cost savings will lower OPEX in coming quarters; accordingly, management is confident in reiterating the FY26 guidance of +1% y/y (implying largely flat y/y for the remaining nine months of 2026).

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Overweight

0005.HK, 5 HK

Price: HK\$136.00

05 May 2026

Price Target: HK\$180.00

PT End Date: 31 Dec 2026

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Private credit exposure and fraud-related ECL

- **Exposure unchanged; fraud idiosyncratic and one-off.** Management confirmed that HSBC's overall private credit exposure remains unchanged at ~\$6bn (drawn and undrawn), staying within ~2% of the loan book, and that private credit has never been a significant growth driver for the bank. The \$0.4bn fraud-related ECL charge in 1Q26 was described as idiosyncratic and one-off, arising from a secondary exposure through a financial sponsor where HSBC had relied on the sponsor's due diligence. Management stated it has reviewed all highest-risk exposures and private credit positions across the portfolio and identified no comparable fraud risks. As a learning, HSBC is enhancing due diligence processes even where relying on financial sponsors and reviewing concentration limits on individual counterparties.

Middle East stress scenario and ECL framework

- **Bookend scenario severe but already factored into guidance; RoTE targets reiterated.** Management emphasized that the ~45bps FY26 ECL guidance already incorporates all plausible downside scenarios with appropriate probability weighting. The bookend stress scenario requires five factors to occur simultaneously – stock markets down ~35%, oil at ~\$145, market disruption, significant GDP slowdown, and rising unemployment – and would reduce PBT by a mid- to high-single-digit percentage, split broadly equally between revenue and ECL impacts. Critically, this is an unmitigated impact (before management actions), and management reiterated confidence in delivering RoTE targets for 2026-2028 even under stress.
- **IFRS 9 downside weighting at 45%, unlikely to rise further.** The IFRS 9 downside scenario weighting has been raised to 45%, which includes a 30% Middle East-specific scenario added as a fifth scenario. Management does not expect this weighting to shift materially from here, noting that similar peak weightings were applied during Covid and Russia-Ukraine before normalizing. The distinction between the IFRS 9 accounting scenarios and the holistic bookend stress scenario (used for planning purposes) was clearly drawn.

Credit cost trajectory for the remainder of FY26

- **Underlying credit quality healthy; conservatism built in for Middle East and HK CRE tail risks.** The 52bps annualized credit cost in 1Q26 was elevated by two specific items: the \$0.4bn one-off fraud charge and \$0.3bn of Middle East-related reserves (including macro assumption refreshes and a regional overlay). Stripping both out, underlying credit costs were ~\$600m, actually lower than 1Q25. For the remaining quarters, management has built in conservatism for potential further Stage 3 migration if the Middle East conflict is prolonged, and for Hong Kong CRE where early stabilization is acknowledged but the end of the cycle is not being called.

Wealth: Strong momentum with CSM accounting lag

- **Broad-based momentum sustained; April activity recovered after late-March risk-off.** Management expressed confidence in the wealth franchise, noting that 1Q is always seasonally strong but that momentum returned in April after some risk-off behavior in late March. A product mix shift – clients rotating from bonds and mutual funds into structured products and equities – is contributing positively to fee income. HSBC continues to grow new customers in Hong Kong despite introducing a fee in January, with new customers converting into wealth and insurance clients over time.
- **CSM accounting dynamic explains the lag vs. peers; underlying fee growth competitive.** On the question of slightly lower revenue growth versus peers, management attributed this to the CSM accounting dynamic under IFRS 17: the CSM balance is growing strongly (+31% y/y for new business CSM), but recognition flows through the P&L at roughly one-tenth per year over a 9-10 year release period. Adjusting for this timing effect, HSBC is in line with or ahead of peers in certain fee income pockets. The key positive dynamic is that CSM balance growth continues to exceed the P&L release, supporting a sustained trajectory. Demand for insurance products in Hong Kong remains extremely strong.
- **High proportion of NNM flowing into invested assets partly seasonal, but fee tailwind intact.** Regarding the \$34bn of non-deposit net new money (out of \$39bn total), management noted some seasonality in 1Q deposit-to-investment rotation, alongside strong new private banking mandates. Management describe the wealth story as broad-based and not dependent on a single lever, with a fee income tailwind expected to continue building year on year given the breadth of the product offering and ongoing investment in the business.

Banking NII: Guidance upgraded to ~\$46bn with conservative framing

- **Underlying run rate above guidance; conservatism reflects rate uncertainty.** Management updated FY26 Banking NII guidance to around \$46bn (from at least \$45bn), based on yield curves as of mid-April across all currencies. Adjusting for one-off items and day count, the underlying 1Q run rate annualizes above \$46bn, but management stressed the guidance is "around \$46bn" with usual conservatism, incorporating plausible headwinds including interest rate uncertainty and HIBOR volatility (which dipped in March but has since recovered to the ~2.5% range). Tailwinds include the structural hedge reinvestment and strong deposit flows.
- **Higher-for-longer rates would be a tailwind for outer-year revenue targets.** Management confirmed that the revenue growth targets (rising to 5% YoY by 2028) were set based on yield curves at the time of target announcement. If yield curves remain higher or increase from those levels, this would represent a tailwind for future revenue, all else equal. Banking NII guidance is only provided for the current year.

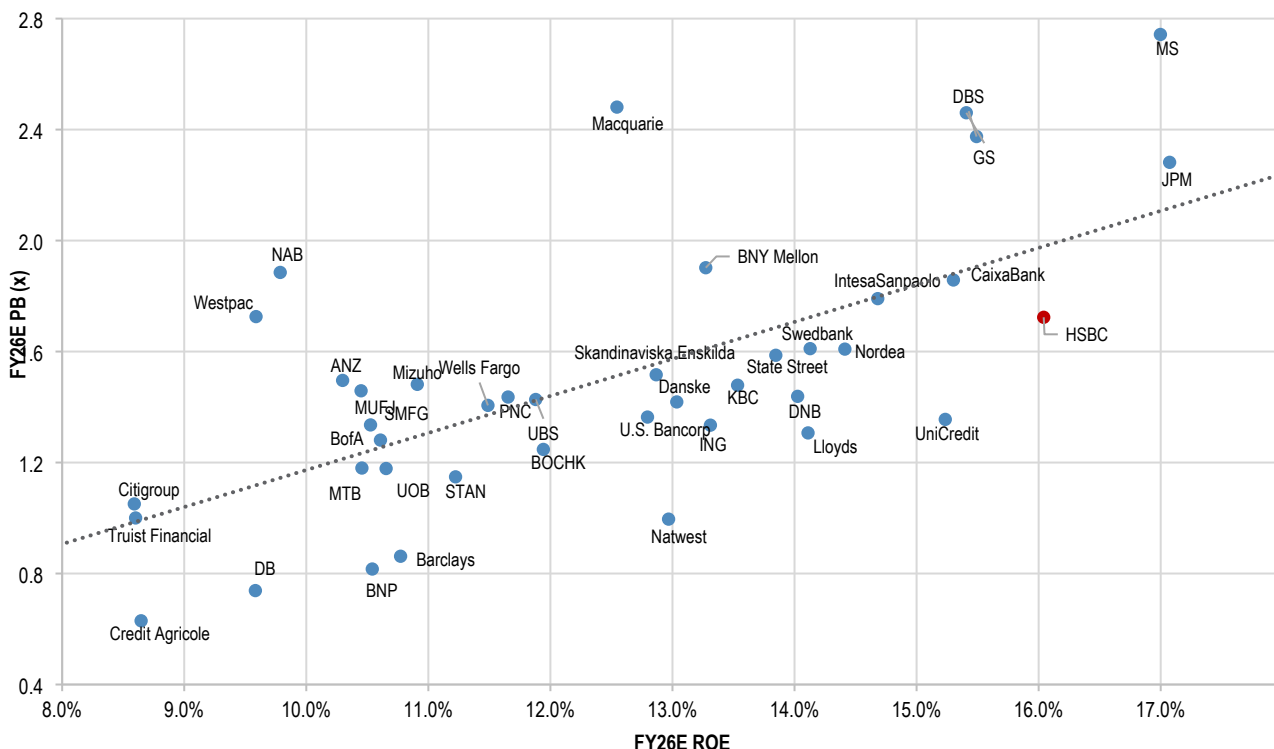
Costs: Front-loaded gross increases, savings ramping in 2H

- **Phasing explains elevated 1Q; confidence in ~1% FY target.** The +3% YoY cost growth in 1Q (including higher variable pay accrual) was above the full-year ~1% target basis guidance, but management expressed full confidence in delivering the annual target. The phasing dynamic is straightforward: gross cost increases (~3%) are front-loaded, while simplification actions will be completed by mid-year, delivering cumulatively more savings in 2H. Of the ~\$0.7bn simplification savings expected to be realized in 2026, \$0.3bn was already booked in 1Q, with the remainder to flow through progressively.

Other key topics

- **Strong capital generation supports potential buyback restart from 2Q.** Even after absorbing the HSB privatisation, HSBC remained within its 14-14.5% CET1 operating range throughout, reflecting strong organic capital generation across all four businesses. Management expects 2Q to be equally highly capital generative. Buyback decisions are made quarterly, and management indicated it will revisit buybacks starting from 2Q26.
- **HSB synergies minimal to date; benefits expected from 2H26, mainly 2027-28.** Management described a very good start on the privatisation but noted that synergies to date have been minimal as the process is just beginning. Investment is already underway in Hong Kong across both brands in technology, customer journey simplification, and colleague training. Synergy benefits are expected to come through progressively from 2H26, mainly through 2027-28, targeting \$0.5bn in revenue and cost synergies by YE28 with \$0.4bn potential further upside.
- **Indonesia retail exit reflects disciplined capital allocation; CIB presence retained.** Management confirmed Indonesia remains a critical market from a CIB/network perspective given its significance within ASEAN, but the retail business did not meet the high hurdle rate for the wealth strategy given its size, scale, and scope. Capital is being redeployed to markets with more focused wealth growth potential. The transaction financials reflect the business's value, with up to \$0.4bn gain expected in 1H27.

Figure 1: PB-ROE of large cap developed market banks



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Only include banks under our coverage with >\$20bn market cap.

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.8%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks include:

- 1) **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- 2) **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

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